

Subject Description Form

Subject Code	AF4326
Subject Title	Fixed Income Securities
Credit Value	3
Level	4
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Investments (AF3316)
Objectives	This course is concerned with fixed income securities and interest rate risk management. It will introduce tools used to explore the theoretical and empirical aspects of fixed income securities and their derivatives. It contributes to the achievement of the BBA programme outcomes by enabling students to <u>understand and analyze real life issues related to fixed income securities</u>, and <u>apply relevant concepts and tools to solve problems on fixed income investment</u> (Outcome 14). It will also help students improve their ability to communicate effectively in English through assignments, discussions and presentations (Outcome 1).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: <u>Understand, explain and analyze the issues</u> in pricing, hedging, and arbitrage in the fixed income securities markets. - Evaluate various types of fixed income products and <u>analyze</u> their potential risk and return. <u>Apply theories and concepts</u> learned and analyze fixed income investment decisions. - Understand and explain the recent developments and issues of the fixed income markets. - Enhance their ability to <u>communicate effectively in English</u> through assignments, discussions and presentations.
Subject Synopsis/ Indicative Syllabus	The Basic Products Bond price arithmetic. Treasury bills, notes, bonds and strips. Organization of government bond markets. Spot rates, par rates and forward rates. Constructing zero curves. Risk Management Measures of price sensitivity. Simple hedging strategies using fixed income derivatives. Eurodollar futures. Bond futures. Interest rate swaps. Pricing Interest Rate Claims Theories of the term structure. Arbitrage free pricing. Corporate Bonds and Credit Risk Credit ratings. Default risk and credit spread. Credit derivatives. Mortgages and Their Derivatives

	Residential mortgages and mortgage backed securities. Prepayment risk. Bonds with Embedded Options Basic pricing principles. Static spread and option-adjusted spread. Negative convexity. Effective duration and convexity.							
Teaching/Learning Methodology	Lectures and seminars will be conducted on the topics of the syllabus. Lecture time will be used flexibly for discussing key concepts and their applications with students and carrying out other learning activities with them. Such activities include group discussions and student presentations of their work. To maximize benefits, students are encouraged to share their views and experiences actively with their lecturer and classmates.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	
	1. Mid-term test	10%	√	√	√	√	√	
	2. Individual Assignment	15%	√	√	√	√	√	
	3. Group Presentation	15%	√	√	√	√	√	
	4. Participation	10%					√	
	5. Final Examination	50%	√	√	√	√		
	Total	100 %						
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:							
Student Study Effort Required	Class contact:							
	▪ Lectures / Seminars				39 Hrs.			
	Other student study effort:							
	▪ Review of course materials				52 Hrs.			
	▪ Working on individual assignment /group presentation				20 Hrs.			
	Total student study effort				111 Hrs.			
Reading List and References	Fabozzi, F., <i>Bond Markets, Analysis, and Strategies</i> , 10th edition, Pearson. Levine, R., <i>How to Make Money with Junk Bonds</i> , 2012, McGraw Hill. Supplementary readings from academic/professional journals and websites.							